

# Session 3.2: Strategic Cannibalization

Self-cannibalization, SaaS Valley of Death, and Adobe Creative Cloud transition.

PART 1 (LECTURE)  
**60 Minutes**

PART 2 (LAB PRACTICE)  
**60 Minutes**

PART 3 (EXECUTIVE MEMO)  
**60 Minutes**

STANDARD  
**Audited SEC Filings**

# Learning Objectives & Executive Overview

Clear conceptual grounding for undergraduate and graduate business students.

## CORE COMPETENCIES

### Goals

### What You Will Master Today

- **Theoretical Mastery:** Evaluate seminal literature and analytical frameworks governing platform competition.
- **Empirical Rigor:** Reconcile management strategic claims with legally audited statutory filings.
- **Data Modeling:** Execute spreadsheet calculations with explicit coordinates and formula logic.
- **Executive Formulation:** Deliver structured board-level recommendations resolving complex trade-offs.

## SELF-CANNIBALIZATION

### Vocabulary

### Key Topical Foundations

- **Christensen (1997)::** Innovator's Dilemma & customer entrapment.
- **Preemptive Cannibalization::** Sacrificing high-margin products before rivals do.
- **SaaS Valley of Death::** Cash flow trough during subscription migration.
- **Micro-Examples::** iPhone cannibalizing iPod, Kodak film trap, **N** Netflix streaming.

# Theoretical Foundations: Self-Cannibalization

Rigorous analytical frameworks and literature benchmarks.

## THEORETICAL ARCHITECTURE

Literature

### Seminal Framework Insights

- *Christensen (1997)::* Innovator's Dilemma & customer entrapment.
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## STRATEGIC APPLICATION

Analysis

### Business Model Mechanics

- *License Sunset (2012)::* Discontinuing \$2,000 upfront boxed software.
- *Subscription Pivot::* Mandating \$50/month Creative Cloud recurring subscriptions.
- *Financial Shock::* 2013-14 operating income plummeted 64% to \$423M.
- *Transformation Payoff::* Recurring revenue reached >85%; stock multiple 5x.

## STRATEGIC TAKEAWAY

Self-cannibalization, SaaS Valley of Death, and Adobe Creative Cloud transition.

# Seminal Literature & Economic Mechanics

Governing economic dynamics, externalities, and platform governance models.

## ECONOMIC EXTERNALITY

Model

### Network Externalities & Market Tipping

- **Positive Feedback Loops:** Adoption utility accelerates quadratically as the complementary user base expands.
- **Two-Sided Subsidization:** Balancing prices between money-side and subsidy-side to catalyze cross-network participation.
- **Multi-Homing Frictions:** Users and suppliers incurring setup and cognitive costs when operating across competing platforms.
- **Governance Standards:** Programmatic rules and interface contracts mitigating opportunistic market behavior.

## STRATEGIC LEVER

Ecosystem Dynamics

### Platform Architecture Mechanics

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# Strategic Showdown: Incumbent Architecture vs. Platform Ecosystem

Contrasting capital-intensive linear controls with scalable ecosystem orchestration.

LINEAR INCUMBENT MODEL

Physical Pipeline

## Controlled Capacity & Heavy CapEx

- **Proprietary Asset Ownership:** Firms fund physical plant, equipment, and inventories directly on balance sheet.
- **Gatekeeper Curation:** Central corporate management manually selects products, vendors, and services.
- **Supply Chain Bottlenecks:** Expansion speed is strictly constrained by capital expenditure budgets and construction lead time.
- **Linear Economics:** Revenue growth requires proportional expansion in headcount and physical fixed assets.

PLATFORM ECOSYSTEM MODEL

Software Orchestrator

## Algorithmic Matching & Asset-Light Scale

- **Externalized Production:** Community participants supply physical capital, labor, and distributed inventory.
- **Algorithmic Governance:** Two-way reputation systems and automated matching replace physical gatekeepers.
- **Zero Marginal Cost Expansion:** Adding new marketplace participants requires lines of code rather than land acquisition.
- **Exponential Leverage:** Transaction volume accelerates rapidly while corporate headcount remains tightly bounded.

CORE STRATEGIC DISPARITY

Pipelines compete by optimizing internal operations and erecting proprietary barriers. Platforms compete by orchestrating external ecosystems and minimizing friction across bilateral exchanges.

# Case Showdown: Adobe Creative Cloud

Historical case evidence and multi-year corporate trajectory confrontation.

CORPORATE DYNAMICS

Timeline & Strategy

## Strategic Positioning

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ANALYTICAL FINDINGS

Empirical Evidence

## Operational & Financial Results

- *Adobe 10-K Data::* Product, Subscription, Services revenues (2011-2017).
- *Revenue Mix %::* Subscription % ( $=C2/E2*100$ ) and Product % ( $=B2/E2*100$ ).
- *Valley of Death::* Quantifying operating income collapse in 2013-2014.
- *100% Stacked Chart::* Plotting 7-year transition to recurring subscriptions.

AUDITED CASE CONCLUSION

Self-cannibalization, SaaS Valley of Death, and Adobe Creative Cloud transition.

# Executive Dilemma: Executive Lab

Framing complex management dilemmas and evaluating corporate trade-offs.

EXECUTIVE CHALLENGE

Strategic Tension

## Corporate Strategic Tension

- **CFO Analyst Briefing::** Drafting talking points for Wall Street during 60% profit dip.
- **Healthy Decline::** Explaining why falling accounting profit proved success.
- **Migration Policy::** Forced immediate cutover vs. multi-year legacy transition.
- **Executive Memo::** Managing shareholder expectations through business model transitions.

EVALUATION RUBRIC

Requirements

## Board-Level Deliverable

- **Actionable Recommendation:** Formulate a concrete 3-bullet decision brief for senior leadership.
- **Quantitative Defense:** Support recommendations using audited financial metrics from the lab spreadsheet.
- **Risk Mitigation:** Address channel friction, partner resistance, or competitive retaliation.
- **Implementation Timeline:** Define immediate 90-day execution milestones.

# Lab Transition: 120-Minute Hands-On Execution

Transitioning from lecture observation to hands-on data manipulation and strategic decision-making.

EXERCISE 1: FOUNDATIONAL PRACTICE

60 Min Lab

## Applied Excel Lab

Hands-on spreadsheet protocol using audited historical numbers:

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- *Revenue Mix %::* Subscription % (=C2/E2\*100) and Product % (=B2/E2\*100).
- *Valley of Death::* Quantifying operating income collapse in 2013-2014.
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EXERCISE 2+: ADVANCED PROBLEM SOLVING

60 Min Memo

## Executive Lab

Applied scenario analysis, trade-off evaluation, and executive brief:

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